

E057

Risk Management and Contingency Planning

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

Method © 2026 Erik Daniel Lindquist — Course Mastery Coach, armored drill. Items drafted with AI assistance under his direction.

How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

On a data-center migration, the network vendor emailed this morning that the switches, ordered in March from a supplier in Ohio, will arrive two weeks late. The team has a strong track record of recovering from delays. How should this be logged?

- A. As an assumption in the project scope statement.
- B. As an issue, because the delay has already happened and needs action now.
- C. As a risk, since it could still affect the schedule.
- D. It does not need logging, because the team's track record means it will recover.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2.

A project rates risks on 1-5 scales. R1: probability 4, impact 2. R2: probability 2, impact 5. R3: probability 3, impact 3. R3 was raised by the most senior engineer. Using probability x impact, which risk ranks highest?

- A. They cannot be ranked without dollar values.
- B. R1, because it has the highest probability.
- C. R3, because the most senior engineer raised it.
- D. R2, score 10.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A construction project faces a 30% chance that a permit delay costs \$50,000 and a 20% chance of earning a \$30,000 early-completion bonus. The site supervisor has 15 years' experience. What is the net EMV of these two risks?

- A. -\$15,000
- B. -\$20,000
- C. -\$9,000
- D. -\$21,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

A risk has an EMV of −\$12,000 and an impact of \$40,000. What probability was assigned?

- A.** 70%
- B.** 12%
- C.** 30%
- D.** 333%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A team must choose a vendor. Vendor A costs \$100,000 with a 20% chance of \$50,000 in rework. Vendor B costs \$110,000 with a 5% chance of \$40,000 in rework. Vendor A's CEO gave the keynote at this year's industry conference. Which vendor has the lower expected cost?

- A.** Vendor A, \$100,000.
- B.** Vendor A, \$110,000.
- C.** Vendor B, because its rework chance is lower.
- D.** Vendor A, \$150,000.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A hospital IT project faces the risk that its in-house staff lack the skills to configure a new firewall. The project manager signs a fixed-price contract with a specialist firm that takes on the configuration and its performance risk. The specialist firm is located in the same building. Which risk response is this?

- A.** Mitigate.
- B.** Avoid.
- C.** Accept.
- D.** Transfer.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

A project manager wants to avoid the risk that a new, untested database engine will fail. Which action is avoidance?

- A.** Change the plan to use the proven database engine already in production.
- B.** Note it in the register and take no action.
- C.** Add extra load testing of the new engine.
- D.** Buy a warranty from the database vendor.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A software firm learns that a cloud-credit program could cut hosting costs by 30% if it applies before the quarter ends. The program was announced at a conference in Denver. The project manager assigns her most capable staff member to complete the application right away so the savings are certain. Which response is this?

- A.** Exploit.
- B.** Mitigate.
- C.** Enhance.
- D.** Share.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

A small firm cannot staff a large new contract alone. Which action is the “share” response to this opportunity?

- A.** Add a few extra hires to raise the chance of winning.
- B.** Assign the firm's best people full-time so the win is certain.
- C.** Form a joint venture with a partner that has the needed staff.
- D.** Buy insurance in case the contract is lost.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A retail chain plans a weekend point-of-sale upgrade. If the new software fails its Saturday 6 a.m. check, the team will roll back to the old version. If the rollback also fails, stores will use handheld card readers. The chain has 42 stores across three states. What is the handheld card-reader plan?

- A.** A contingency plan.
- B.** A fallback plan.
- C.** A risk trigger.
- D.** A workaround.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11. [TRANSFER — reversed stem / different variable]

A team hits a problem that was never identified as a risk and improvises a response on the spot. What is this response called?

- A.** A workaround.
- B.** A contingency plan.
- C.** A fallback plan.
- D.** Mitigation, since any response always reduces impact.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

To reduce power-loss risk in a server room, a team installs a diesel backup generator bought from a local dealer with a two-year warranty. Some chance of outage remains if the generator fails to start, and storing diesel fuel on site creates a new fire risk. What is the diesel fire risk called?

- A.** No risk, because mitigation always eliminates risk.
- B.** An issue.
- C.** A residual risk.
- D.** A secondary risk.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

On a data-center migration, the network vendor emailed this morning that the switches, ~~ordered in March from a supplier in Ohio~~, will arrive two weeks late. ~~The team has a strong track record of recovering from delays.~~ How should this be logged?

Target word: risk or issue **Decides:** The late delivery has already been confirmed.

A	Adjacent category	An assumption is believed true for planning, not a confirmed problem.
B	Correct	A confirmed problem is an issue.
C	Confusion set	Risks are uncertain; this event is certain.
D	Camouflage	Past performance does not remove the need to log and manage the issue.

2. Answer D Concept 2

A project rates risks on 1-5 scales. R1: probability 4, impact 2. R2: probability 2, impact 5. R3: probability 3, impact 3. ~~R3 was raised by the most senior engineer.~~ Using probability × impact, which risk ranks highest?

Target word: highest risk score **Decides:** Scores: R1 = 8, R2 = 10, R3 = 9.

A	Adjacent category	Qualitative scoring ranks risks without dollar figures.
B	Dropped element	Ranks by probability alone and drops impact.
C	Camouflage	Who raised a risk does not change its score.
D	Correct	$2 \times 5 = 10$, above R3 (9) and R1 (8).

3. Answer C Concept 3

A construction project faces a 30% chance that a permit delay costs \$50,000 and a 20% chance of earning a \$30,000 early-completion bonus. ~~The site supervisor has 15 years' experience.~~ What is the net EMV of these two risks?

Target word: net EMV **Decides:** Threat −\$15,000; opportunity +\$6,000.

A	Adjacent category	Counts only the threat; opportunities are risks too.
B	Dropped element	Nets the raw amounts without applying probabilities.
C	Correct	$0.30 \times -\$50,000 = -\$15,000$; $0.20 \times \$30,000 = +\$6,000$; net −\$9,000.
D	Inverted operation	Treats the bonus as a cost instead of a gain.

4. Answer C Concept 3 • transfer

A risk has an EMV of −\$12,000 and an impact of \$40,000. What probability was assigned?

Target word: solve for probability **Decides:** Probability = |EMV| / impact.

A	Adjacent category	That is the chance the risk does not occur.
B	Wrong stem number	Reads the EMV figure as a percentage.
C	Correct	$\$12,000 / \$40,000 = 0.30$.
D	Inverted operation	Divides impact by EMV; a probability cannot exceed 100%.

5. Answer B Concept 4

A team must choose a vendor. Vendor A costs \$100,000 with a 20% chance of \$50,000 in rework. Vendor B costs \$110,000 with a 5% chance of \$40,000 in rework. ~~Vendor A's CEO gave the keynote at this year's industry conference.~~ Which vendor has the lower expected cost?

Target word: lower expected cost **Decides:** A = 100,000 + 10,000; B = 110,000 + 2,000.

A	Dropped element	Leaves out the expected rework cost.
B	Correct	A: $\$100,000 + 0.20 \times \$50,000 = \$110,000$; B: $\$110,000 + 0.05 \times \$40,000 = \$112,000$.
C	Confusion set	Lower probability is not lower expected cost once base cost is included.
D	Absolute language	Assumes rework will certainly happen instead of weighting by 20%.

6. Answer D Concept 5

A hospital IT project faces the risk that its in-house staff lack the skills to configure a new firewall. The project manager signs a fixed-price contract with a specialist firm that takes on the configuration and its performance risk. ~~The specialist firm is located in the same building.~~ Which risk response is this?

Target word: name the threat response **Decides:** Responsibility and risk shift to a third party by contract.

A	Adjacent category	Mitigation lowers probability or impact while the team keeps the risk.
B	Confusion set	Avoidance changes the plan so the threat cannot occur; the firewall work still happens.
C	Inverted operation	Acceptance keeps the risk; here it was handed off.
D	Correct	A fixed-price contract shifts the risk to the specialist firm.

7. Answer A Concept 5 · transfer

A project manager wants to avoid the risk that a new, untested database engine will fail. Which action is avoidance?

Target word: pick the action for a named response **Decides:** Avoidance changes the plan to remove the threat.

A	Correct	Removing the untested engine removes the threat.
B	Inverted operation	That is passive acceptance, the opposite of avoidance.
C	Adjacent category	That is mitigation.
D	Confusion set	That is transfer.

8. Answer A Concept 6

A software firm learns that a cloud-credit program could cut hosting costs by 30% if it applies before the quarter ends. ~~The program was announced at a conference in Denver.~~ The project manager assigns her most capable staff member to complete the application right away so the savings are certain. Which response is this?

Target word: name the opportunity response **Decides:** The action aims to make the opportunity certain.

A	Correct	Exploit ensures the opportunity happens.
B	Inverted operation	A threat response applied to an opportunity.
C	Adjacent category	Enhance raises probability or impact without making it certain.
D	Confusion set	Share brings in a partner; no partner is involved.

9. Answer C Concept 6 · transfer

A small firm cannot staff a large new contract alone. Which action is the “share” response to this opportunity?

Target word: pick the action for a named response **Decides:** Share = partner with a third party better able to capture it.

A	Adjacent category	That is enhance.
B	Confusion set	That is exploit.
C	Correct	Sharing allocates the opportunity to a partner who can capture it.
D	Inverted operation	Insurance is a threat response (transfer).

10. Answer B Concept 7

A retail chain plans a weekend point-of-sale upgrade. If the new software fails its Saturday 6 a.m. check, the team will roll back to the old version. If the rollback also fails, stores will use handheld card readers. ~~The chain has 42 stores across three states.~~ What is the handheld card-reader plan?

Target word: name the second-line plan **Decides:** It runs only if the first response (rollback) fails.

A	Inverted operation	The rollback is the contingency; the order is reversed.
B	Correct	A fallback runs when the contingency plan fails.
C	Adjacent category	The trigger is the failed 6 a.m. check, not the response.
D	Confusion set	Workarounds are unplanned; this one is planned in advance.

11. Answer A Concept 7 · transfer

A team hits a problem that was never identified as a risk and improvises a response on the spot. What is this response called?

Target word: name the unplanned response **Decides:** Unidentified problem + improvised response.

A	Correct	A workaround is an unplanned response to an unplanned event.
B	Adjacent category	Contingencies are prepared for identified risks.
C	Confusion set	Fallbacks are planned in advance.
D	Absolute language	Mitigation is a planned response to an identified risk.

12. Answer D Concept 8

To reduce power-loss risk in a server room, a team installs a diesel backup generator ~~bought from a local dealer with a two-year warranty.~~ Some chance of outage remains if the generator fails to start, and storing diesel fuel on site creates a new fire risk. What is the diesel fire risk called?

Target word: name the new risk **Decides:** The fire risk was created by the response.

A	Absolute language	Responses reduce risk and can create new ones.
B	Adjacent category	No fire has occurred; it is still uncertain.
C	Confusion set	Residual is the outage risk that remains, not the new fire risk.
D	Correct	A new risk that arises from carrying out a response.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	3	
Wrong stem number	A figure copied from the prompt that is not the answer.	1	
Adjacent category	The right idea in the wrong bucket.	11	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	7	
Absolute language	Always, never, guarantee — where judgment applies.	3	
Confusion set	Every option is real; the test is exact role-matching.	9	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Risk vs. issue	A risk is an uncertain future event; an issue is a problem that has already happened and needs action now.	Logging something that already happened as a risk.	Past tense (“emailed this morning,” “crashed yesterday”).
2	Probability-impact scoring	Qualitative priority = probability rating × impact rating; rank by the product.	Ranking by probability alone.	Risks rated on 1-5 scales.
3	Expected monetary value	EMV = probability × impact; threats are negative, opportunities positive, and they net together.	Ignoring probability or treating opportunities as costs.	A percentage chance next to a dollar amount.
4	Decision-tree expected cost	Expected cost of a choice = base cost + (probability × risk cost); pick the lowest expected cost.	Choosing the option with the lowest risk probability.	Two alternatives each with a base cost and a chance of extra cost.
5	Threat responses	Avoid changes the plan to remove the threat; transfer shifts it to a third party; mitigate reduces probability or impact; accept keeps it.	Calling any action that lowers risk “avoid.”	Contracts, insurance, plan changes, or extra testing.
6	Opportunity responses	Exploit makes the opportunity certain; enhance raises its probability or impact; share partners with a third party; accept takes it if it comes.	Applying threat responses to opportunities.	An upside event and “make sure it happens.”
7	Contingency, fallback, and workaround	A contingency plan runs when a trigger occurs; a fallback plan runs if the contingency fails; a workaround is an unplanned response to an unidentified problem.	Swapping contingency and fallback.	“If that also fails” or “never identified.”
8	Residual and secondary risk	Residual risk is what remains after a response; secondary risk is a new risk created by the response.	Calling a new risk created by the fix “residual.”	A response that introduces something new.

Course scope (public description): In Risk Management and Contingency Planning, the learner will acquire essential skills in categorizing project risks based on likelihood and potential impact, enabling them to identify and prioritize risks effectively. The learner will perform risk analysis using qualitative and quantitative methods to assess risks, plan appropriate risk responses, and mitigate potential impacts on project outcomes. Additionally, the learner will develop a comprehensive risk management plan that includes monitoring strategies and fallback measures, enhancing their ability to proactively manage risks, ensure project resilience, and optimize project success.